THE FOLES
Unlevered Cash Flow

East Lang Ellis

Period	Growth Assumptions	Year 1	Year 2	Year 3	Year 4	Year 5	Year 6	Year 7	Year 8	Year 9	Year 10	Residual
REVENUE												
Rental Revenue												
Gross Potential Rent	3.50%	9,892,396	10,238,630	10,596,982	10,967,876	11,351,752	11,749,063	12,160,280	12,585,890	13,026,396	13,482,320	13,954,201
Loss-to-Lease	1.50% of GPR	(148,386)	(153,579)	(158,955)	(164,518)	(170,276)	(176,236)	(182,404)	(188,788)	(195,396)	(202,235)	(209,313)
Actual Vacancy & Credit Loss	4.00% of GPR	(395,696)	(409,545)	(423,879)	(438,715)	(454,070)	(469,963)	(486,411)	(503,436)	(521,056)	(539,293)	(558,168)
Concessions	See Notes [1]	(197,848)	(102,386)	-	-	-	-	-	-	-	-	-
Total Rental Revenue		9,150,466	9,573,119	10,014,148	10,364,643	10,727,405	11,102,865	11,491,465	11,893,666	12,309,944	12,740,793	13,186,720
Other Income												
RUBS	See Notes [2]	263,055	270,947	279,075	287,447	296,071	304,953	314,101	323,524	333,230	343,227	353,524
Other Income	See Notes [3]	140,307	144,516	148,851	153,317	157,916	162,654	167,533	172,559	177,736	183,068	188,560
Storage Income	3.00%	176,130	181,414	186,856	192,462	198,236	204,183	210,308	216,618	223,116	229,810	236,704
Parking Income	3.00%	333,720	343,732	354,044	364,665	375,605	386,873	398,479	410,434	422,747	435,429	448,492
Total Other Income		913,212	940,608	968,826	997,891	1,027,828	1,058,663	1,090,422	1,123,135	1,156,829	1,191,534	1,227,280
Effective Gross Revenue												
Gross Revenue		10,063,678	10,513,727	10,982,974	11,362,534	11,755,233	12,161,527	12,581,887	13,016,801	13,466,774	13,932,327	14,414,000
General Vacancy and Credit Loss	0.25% of GPR	(24,731)	(25,597)	(26,492)	(27,420)	(28,379)	(29,373)	(30,401)	(31,465)	(32,566)	(33,706)	(34,886)
Total Effective Gross Revenue		10,038,947	10,488,130	10,956,481	11,335,114	11,726,854	12,132,155	12,551,487	12,985,337	13,434,208	13,898,621	14,379,115
OPERATING EXPENSES												
Controllable												
Repairs and Maintenance	3.00%	127,247	131,065	134,997	139,047	143,218	147,515	151,940	156,498	161,193	166,029	171,010
Contract Services	3.00%	102,350	105,420	108,583	111,841	115,196	118,652	122,211	125,878	129,654	133,544	137,550
Turnover	3.00%	137,115	141,228	145,465	149,829	154,324	158,953	163,722	168,634	173,693	178,903	184,271
Administrative	3.00%	103,997	107,117	110,331	113,640	117,050	120,561	124,178	127,903	131,740	135,693	139,763
Advertising and Marketing	3.00%	90,496	93,210	96,007	98,887	101,854	104,909	108,056	111,298	114,637	118,076	121,619
Payroll	3.00%	625,242	644,000	663,320	683,219	703,716	724,827	746,572	768,969	792,038	815,800	840,274
Utilities	3.00%	398,464	410,418	422,730	435,412	448,474	461,929	475,787	490,060	504,762	519,905	535,502
Fixed												
Property Taxes	See Notes [4]	1,687,016	1,720,756	1,755,171	1,790,275	1,826,080	1,862,602	1,899,854	1,937,851	1,976,608	2,016,140	2,056,463
Insurance	2.00%	243,514	248,384	253,352	258,419	263,587	268,859	274,236	279,721	285,315	291,022	296,842
Property Management	3.00% of EGR	301,168	314,644	328,694	340,053	351,806	363,965	376,545	389,560	403,026	416,959	431,373
Total Operating Expenses		**3,816,609**	**3,916,242**	**4,018,649**	**4,120,622**	**4,225,304**	**4,332,771**	**4,443,101**	**4,556,372**	**4,672,667**	**4,792,069**	**4,914,666**
NET OPERATING INCOME		**6,222,338**	**6,571,888**	**6,937,832**	**7,214,492**	**7,501,550**	**7,799,383**	**8,108,386**	**8,428,964**	**8,761,541**	**9,106,551**	**9,464,449**

Notes
1. Concessions ae 2% of GPR in year 1, 1% in year 2, and 0% thereafter.
2. Ownership currently charges a flat fee that ranges from $50 - $100. Assumes a 3% annual growth.
3. Includes pet fees, late rent fees, application fees, amenity rental, damages, and lease termination fees. Assumes a 3% annual growth.
4. 1.6% current mill rate. Assumes 2% growth rate.